

Federal Exemptions and Exceptions

Fair housing law was designed to protect citizens from discrimination. It was not designed to prohibit non-discriminatory behavior, or even certain behaviors that discriminate, but to protect citizens seeking housing. Following are some exemptions to coverage under the Fair Housing Act.

- **Owner-occupied buildings with no more than four units:** This exemption is commonly known as the "Mrs. Murphy" exemption. "Mrs. Murphy" is a hypothetical widow who's converted a portion of her home into a rental apartment to supplement her limited income. Note that this exemption doesn't apply to rental advertising. "Mrs. Murphy" cannot run a discriminatory advertisement indicating, for example, that a certain religious group is not welcome to rent her apartment or room. Also, this exemption doesn't apply when a real estate agent is representing the property owner, as the law presumes agents are professionally trained and aware that housing discrimination is against the law.
- **Single-family housing sold or rented without the use of a broker:** This exemption applies if the private individual owner doesn't own more than three such single-family homes at one time.
- **Housing operated by organizations and private clubs that limit occupancy to members**
- **Housing designated for senior use:** Senior housing must meet specific requirements to qualify for this exemption:
 - HUD determines that the dwelling is specifically designed for and occupied by older persons under a federal, state or local government program
 - It's occupied solely by persons who are 62 or older
 - It houses at least one person who is 55 or older in at least 80% of the occupied units, and adheres to a policy that demonstrates intent to house persons who are 55 or older

Note: When state and federal laws conflict, as they sometimes do in fair housing/human rights, the more restrictive law prevails.